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Revision Date:
November 1, 2023

Background:
Vendor payments are payments issued directly to a third party, agency, or vendor such as property owner, manager, agent, or landlord that is supplying goods or services to the customer.

Purpose:
The purpose of this program guide section is to define the requirements on vendor payment. The section is being revised as part of a sunset review and to update the section to the current formatting standards. In addition, processes were transferred to the CalWORKs Processing Guide (CPG) 44-300.A1. There is no policy change.

Policy:
Mandatory Vendor Payment
Benefits must be issued by vendor payment for the following:

- Home repairs under special shelter payment provisions
- Rent and/or utility payment when a parent or caretaker is sanctioned for failure to meet Employment Services (ES) requirements and the sanction has been imposed for a minimum of three consecutive months or longer
- Homeless Assistance (HA) payment when mismanagement of funds exists. Refer to CPG 44-200.D for more information

The mandatory vendor payment will be in the form of a warrant to the vendor. There is no service charge to the vendor. The Vendor Payment Agreement form is not required to start mandatory vendor payments. The mandatory vendor payments will start as soon as timely notice requirements can be met. The mandatory vendor payment stops when the customer is no longer subject to mandatory vendor payment. For example, the customer is eligible for an ES exemption or has cured their sanction.

Voluntary Vendor Payment
All customers may request a vendor payment option to pay for their rent or HA. Only the customer can make a request for voluntary vendor payments. The Voluntary Vendor Payment Agreement form is required and it must be completed by the customer and the vendor. The voluntary vendor payments start on the date indicated on the agreement or as soon as timely notice requirements can be met. The customer may request to discontinue voluntary vendor pay at any time. The voluntary vendor payments will stop when there is a change in circumstance (address or vendor) and the customer has not provided a new Voluntary Vendor Payment Agreement form.

All of the following conditions must be met in order for a voluntary vendor payment to be processed:

- The Assistance Unit (AU) receives a CalWORKs grant
- The CalWORKs grant is more than or equal to the amount of the requested vendor payment amount
- The Vendor Payment Agreement has been completed

Changes in Vendor Information or Rent Amount

A new Vendor Payment Agreement is required when there is a change in vendor, address, or rent amount. The payee's name, address, or rent amount must be changed when the new information is reported by the customer. When a change of address or vendor is reported, payments to the previous vendor must be discontinued. When the address remains the same, but the customer reports that the rent amount has changed, a new agreement form is needed to authorize the change of the vendor payment amount.

Vendor Pay Notification

Customers must be provided with timely and adequate notice when starting or stopping vendor payments. Timely notice is also required to change from vendor payments to two party warrants.

The vendors must be notified when vendor payments start or stop. However, vendor notification does not need to be timely. The vendor must be notified prior to the time an action takes place.

Confidentiality

Staff must not release any specific case information such as benefit amounts or status of case without the customer's written authorization. Information can be released to the vendor concerning the status of a specific payment such as issued, returned, not issued, or duplicate warrant was issued to establish an overpayment. Refer to CPG 19-000.A for more information on confidentiality.

Overpayments and Fraud

The customer is responsible for all overpayments. The vendor is not responsible for overpayments, and they do not have appeal rights. If a vendor is convicted of knowingly and willingly assisting a customer to commit fraud, vendor payments will no longer be issued to them.

Procedure:

CalWORKs Processing Guide 44-300.A1

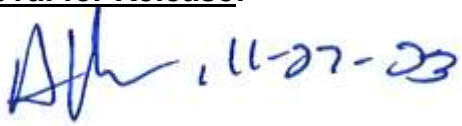
References:

Eligibility and Assistance Standards (EAS) 44-303.3, 44-307
All County Letter (ACL) 97-66

Sunset Date:

This policy will be reviewed for continuance by November 30, 2026.

Approval for Release:



Rick Wanne, Director
Self-Sufficiency Services